

TO BUY USING THIS STRATEGY, TAKE THE FOLLOWING STEPS:

Open any chart.

Apply Bollinger Bands and RSI on a 1-minute timeframe.

Wait for the price to form lower lows near the lower Bollinger Bands.

Observe the movement of the RSI, if the RSI - is going against the price movement, it is a Bullish Divergence.

BUY entry is triggered when the price makes a green candle after a fall.

TARGET is at the high of the upper Bollinger Band.

The **STOPLOSS** is placed below the low of the green candle.

On the above chart, it is evident that the price was making lower lows but the RSI was not reciprocating the price movement. This indicated strength. As the price touched the Bollinger Band, it took the support and the candle turned bullish. With multiple confirmations, we entered the trade at the high of the green candle. According to the strategy, we put the stoploss below the low of the candle and target the high of the upper Bollinger Band. With this strategy, we successfully got a 1:2 Risk to Reward ratio.